Data Science Assignment — Web3 Trading Team

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SUBJECT: Insights: Trader Behavior vs. Market Mood

What the Data Tells

1. Winning More by Risking Less (The "Greed" Phase)

Interestingly, the trader performed best when the market was in "Extreme Greed." During these times, their win rate hit almost 90%, and they made the highest average profit per trade. The catch? They actually risked the *least* amount of capital per trade (about $2,700). Because market momentum was so strong, they didn't need to make massive bets to see great returns. The market's natural direction did the heavy lifting.

2. Revenge Trading in Scared Markets (The "Fear" Phase)

When the market shifted to "Fear," the trader's behavior changed dramatically. They started making huge bets, risking over $8,000 per trade—nearly three times as much as in the greedy phase. Unfortunately, this aggressive strategy backfired. Their overall profits dropped, and they lost trades more frequently. This looks like emotional "revenge trading," where the trader is trying to force a big win to make up for a falling market.

3. The Danger Zones (Neutral and Extreme Fear)

The absolute worst performance happened when the market was either completely flat ("Neutral") or in total panic ("Extreme Fear"). In these conditions, unpredictable or stagnant prices wiped out the trader's edge entirely, leading to their lowest average profits and worst win rates.